



Weekly Insights | Sep 18, 2025

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Executive Summary

Corn – Record Crop, Carries Firm, Basis Under River Stress

USDA's September *WASDE* confirmed record U.S. corn output at 16.8B bu, as higher harvested acreage, the largest since the 1930s, more than offset a yield cut to 186.7 bpa. Ending stocks rose to 2.11B bu, a seven-year high, with the farm price steady at \$3.90. December '25 futures settled near \$4.26 as spreads leaned toward commercial carry while merchandisers layered in storage hedges. Country basis softened seasonally, with elevated barge freight keeping CIF under pressure despite a strong inspection pace and Mexico leading demand. Globally, smaller EU and China adjustments only partly offset U.S. abundance,

leaving the U.S. balance sheet the heaviest in the world.

Soybeans – Smaller Crop, Weak Exports, Crush Holds Firm

USDA trimmed U.S. soybean production to 4.30B bu on slightly lower harvested area and yield of 53.5 bpa. Exports were cut to 1.685B bu, the lowest in six years, while crush was raised to a record 2.555B bu. Ending stocks were raised to 300M bu and the farm price cut to \$10.00/bu. CME Nov '25 soybeans closed at \$10.41, down 0.26%. Domestically the picture is more comfortable, but globally stocks were trimmed slightly to 123 MMT on higher Argentine crush, leaving the world balance sheet modestly tighter even as U.S. exports lag. Rallies continue to stall as China has already covered ~95% of October needs with South American origin and recently paid nearly \$1/bu more for Brazilian beans versus U.S. Gulf, sidelining U.S. exporters despite firm processor bids.

Wheat – Exports Up, Stocks Trimmed, Futures Edge Higher

USDA left U.S. production unchanged at 1.927B bu but raised exports to 900M, trimming ending stocks to 844M bu, slightly below trade expectations. The farm price was lowered 20¢ to \$5.10/bu. Domestic adjustments look modestly supportive, but the global picture dominates: larger crops in Russia, Australia, and the EU lifted world production to 816 MMT and ending stocks to 264 MMT, well above expectations. CME Dec '25 wheat slipped to \$5.18, pressing fresh multi-year lows after an early-September short-cover bounce faded. The Dec/Mar carry held near 18¢, roughly three-quarters of full commercial carry, underscoring abundant supply. With Black Sea FOB offers still cheapest and Chicago net shorts above 90k, U.S. wheat remains capped by heavy global competition despite smaller domestic stocks.

Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.

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Macro/Policy – Softer Dollar, Firm Energy, Logistics in Focus

The U.S. Dollar Index eased to 97.01 on September 18 after the Fed's rate cut, maintaining a supportive tone for commodities. Crude oil stayed steady near \$64–65/bbl, supportive for biofuel margins. Brazil's real weakened to R\$5.31/USD, encouraging heavier farmer sales, while Argentina's peso remained distorted by policy controls. U.S. 10-year Treasury yields eased to 4.04%, trimming carry costs. Freight remains the headwind: the Baltic Dry Index climbed to 2205, pressuring global exporters even as softer currency and firm energy support U.S. competitiveness.

Weather

U.S. weather turned decisively harvest-friendly, with warm and mostly dry conditions across the Midwest accelerating corn and soybean maturity. As of September 14, corn harvest reached 7% (five-year average) and soybeans 5% (ahead of 3%). The dryness has deepened subsoil deficits in parts of the western Corn Belt, raising concern over stalk integrity and potential lodging as combines advance. A patchy frost brushed North Dakota and northern Minnesota, but impacts were limited given most crops were already at or near maturity.

Central Brazil (Mato Grosso and Goiás) is awaiting consistent pre-monsoon showers; planting start hinges on late-September rains. Southern Brazil (Rio Grande do Sul) stays on watch for wheat quality under recent dryness. In Argentina, late-August rains improved northern provinces, but parts of the Pampas remain marginal as October planting approaches.

What's Next (Sep 17 – Sep 24):

U.S. Harvest Pace: Crop Progress on Sep 22 will provide the first comprehensive update on corn and soybean harvest progress; early yield reports from the Midwest will shape trade sentiment.

Export Sales: USDA's weekly report (out Sep 19) will be critical for soybeans, given sluggish new-crop commitments and Brazil's aggressive export pace.

Policy/Logistics: Monitor Mississippi River levels as falling water continues to raise barge freight, weakening Gulf basis. Argentina's currency controls and upcoming elections remain a wild card for farmer selling behavior.

South America: Watch early soybean planting in Brazil; persistent dryness in central states could delay sowing.

Global Wheat: Russian export tempo and EU shipments will remain key drivers for global wheat spreads and FOB values.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	9/10/2025 Close	9/17/2025 Close	Change (Δ)	Δ%	5-day Vol*	Realized	Open Interest Δ
Corn (Dec '25)	\$4.18	\$4.26	+\$0.09	+2.1%	~%	(ann.)	~k (est.)
Soybeans (Nov '25)	\$10.23	\$10.43	+\$0.21	+2.0%	~%	(ann.)	~k (est.)
Wheat (Dec '25)	\$5.16	\$5.28	+\$0.12	+2.3%	~%	(ann.)	~k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	9/10 Quote	9/17 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	+\$0.19	+\$0.20	+0.01	~65%	Carry widening; storage hedge incentive
Soy Nov–Jan	+\$0.12	+\$0.13	+0.01	~60%	Moderate carry; crushers absorbing supply
Wheat Dec–Mar	+\$0.17	+\$0.18	+0.01	~75%	Near full carry, strong storage incentive

Assumes 7% annual interest + \\$.05/bu-month storage. Full carry over 3 months ≈22¢ for corn/wheat, 2 months ≈\$0.22 for soy. Percent of full carry = (spread ÷ calculated full carry)

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Mo)	9/10 USD Price	9/17 USD Price	Δ	Notes
Dalian Corn (Jan)	¥2,230 (\$7.70)	¥2,225 (\$7.68)	-0.3%	China corn futures slipped; still premium over imports
Dalian Soymeal (Jan)	¥3,580 (\$487)	¥3,600 (\$490)	+0.6%	Soymeal firm, hog demand steady
B3 (São Paulo) Corn (Nov)	R\$60.0 (\$12.25)	R\$59.5(\$12.15)	-0.8%	Brazil corn pressured by export pace
Euronext Wheat (Dec)	€192.0 (\$225)	€191.0 (\$224)	-0.5%	EU wheat capped by cheap Black Sea offers

Corn Market Deep Dive

WASDE Update: USDA raised 2025/26 U.S. corn production to 16.814 billion bushels on a record 90 million harvested acres and a yield of 186.7 bu/acre, the largest crop since the 1930s. Traders had expected around 16.5 billion and 186.1 bpa, so the result was a bearish surprise. Ending stocks climbed to 2.11 billion bushels versus expectations near 2.01 billion, a seven-year high that lifted the stocks-to-use ratio to 13.1 percent. The farm price was left at \$3.90/bu, down from \$4.30 last year, underscoring a burdensome balance sheet. Demand categories were unchanged, so the larger crop translated directly into higher carryout

Global Balance: World corn production was trimmed 2 MMT to 1,286.6 MMT, while ending stocks fell 1.1 MMT to 281.4 MMT. Smaller crops abroad offset record U.S. output, keeping global supply comfortable but fractionally tighter. Brazil's crop was steady at 131 MMT, and exports were kept at 43 MMT, trimming carryout to 3.4 MMT. EU production edged up to 55.3 MMT, with imports lifted to 23 MMT and exports cut to 1.8 MMT, confirming Europe's reliance on outside origins. In China, USDA lowered beginning and ending stocks by about 1 MMT, signaling continued reliance on state reserves rather than higher imports

Futures & Spreads: Corn futures dipped immediately after the report but recovered to close firmer, with December ending near \$4.30/bu, about ten cents higher on the day. The limited reaction underscored the balance between record supply and stronger export demand. Wide carries remain a defining feature, reflecting abundant supply

Funds & positioning: Managed money funds remain heavily net short, keeping rallies capped but leaving scope for covering if yields fall short of USDA's 186.7 bpa projection. Analysts noted that futures had already gained nearly 25¢ into the report, reflecting expectations that supply might already be peaking

Trade flows: USDA raised exports by 100 million bushels to a record 2.975 billion, the only demand category revised in the September update. Strong early sales and competitive offers were highlighted as the main offset to burdensome supply

Short-Covering: The latest CFTC Commitments of Traders report for the week ending September 9 showed managed money expanding its net short position to nearly 100,000 contracts, as reductions in long positions outweighed cuts on the short side. Commercials, including elevators and end-users, slightly reduced their overall net long while still adding both longs and shorts to layer in coverage ahead of harvest. Open interest rose by more than 10,000 contracts on September 17, underscoring that forward selling remains the dominant trend, consistent with storage hedging in the face of record supply.

U.S. Cash Market & Basis: The U.S. corn market is showing the classic early-harvest split between pressured export channels and steadier inland demand. Country bids softened seasonally as new-crop bushels moved into the pipeline, while CIF corn held in a tighter band with freight still elevated. Weekly export inspections reached 56.8 million bushels (1.44 MMT), a strong pace that validates USDA's record export forecast, with Mexico and Japan again the leading buyers. Interior ethanol plants and feeders in the Western Corn Belt maintained firm bids to secure coverage, tempering the broader decline.

International Futures & Trade: Global corn production was cut 2 MMT to 1,286.6 MMT, while stocks slipped 1.1 MMT to 281.4 MMT. Brazil's exports were kept at 439 MMT, EU production edged higher with imports lifted to 23 MMT, and China's beginning and ending stocks were each trimmed by ~1 MMT. These changes leave world supply comfortable but emphasize the U.S. as the heaviest source of balance sheet pressure

So what: The September *WASDE* confirmed a supply-heavy outlook for corn. Record acreage and a near-record yield pushed U.S. production and stocks to multi-year highs, locking futures into a carry structure that rewards storage. The U.S. balance sheet is now defined by abundant supply and weaker prices, with harvest pressure set to weigh further. Globally, smaller foreign crops only partly offset the U.S. surge, leaving the U.S. with the heaviest balance sheet pressure. The key risk is whether final harvest results validate USDA's yield, or come in lower, which could force a shift in sentiment

Soybean Market Deep Dive

WASDE Update: USDA's September report trimmed U.S. soybean production to 4.30 billion bushels, down from August on slightly lower harvested acreage and yield now pegged at 53.5 bu/acre, versus analyst expectations closer to 4.35 billion and 53.7 bpa. Exports were cut to 1.685 billion bushels, the lowest in six years (analysts had looked for 1.72 billion), reflecting China's continued reliance on Brazilian supplies. Crush was raised to a record 2.555 billion bushels, leaving ending stocks at 300 million bushels and the stocks-to-use ratio at 12.5 percent, tighter than the ~340 million expected. The season-average farm price was lowered 10¢ to \$10.00/bu, underscoring a more comfortable balance sheet.

Global Balance: USDA's September *WASDE* made only marginal changes to the world soybean balance sheet. Global production was trimmed slightly to 425.9 MMT, with ending stocks down 1.0 MMT to 123.0 MMT. The main driver was Argentina, where crush was raised by 0.6 MMT, tightening ending stocks to 23.9 MMT and reinforcing strong demand for meal and oil. Brazil's balance sheet was largely steady, with

production and exports unchanged and only a minor upward tweak in carryout to 37.3 MMT. China's outlook was also left stable, with imports and ending stocks holding at 21 and 43.4 MMT, respectively. The global soybean outlook tightened only at the margins, with Argentina's higher crush the key change. Ample Brazilian supplies and steady Chinese demand keep the world balance sheet comfortable, but the shift in Argentina underscores firm product demand that could support meal values even as weak U.S. exports weigh on beans.

Futures & Spreads: Soybean futures continue to stall under abundant supply and weak export pull. After multiple failed pushes into the mid-\$10.50s, November slid back toward \$10.40 support and is hovering near five-year lows. Ratings context helps explain the tone: late-August conditions were near 68% G/E, but by mid-September they've eased to roughly 63–64%, with harvest ~5% and just getting started in the South. The curve stays firmly in carry/contango: Nov/Jan holds a 12–13¢ carry (~55–60% of full carry), and by late August the expiring Sep '25 sat ~21¢ under Nov, one of the widest end-of-summer carries in decades—signaling comfortable near-term supply and strong incentives to store rather than lift nearby.

Funds & positioning: Managed money was net short as of Sep 9, in line with the bearish tone. By mid-August, outright shorts had swelled above 125k contracts (~59% of open interest on the short side). That concentration has capped rallies but also loads the spring: a sharper-than-expected U.S. yield cut, a China buying burst, or policy shifts could force fast short-covering. Absent a catalyst, funds remain comfortable leaning short into harvest.

Export commitments: U.S. soybean export sales remain well behind last year at this point, with new-crop bookings concentrated in Mexico and “unknown.” The absence of China remains the defining feature. China has already covered roughly 95% of its October import needs with South American origin and has recently paid about a \$1/bu premium for Brazilian soybeans over U.S. Gulf values, leaving U.S. exporters sidelined. USDA's weekly data showed sales of 19.9 million bushels and inspections of 16.6 million for the week ending September 18, consistent with sluggish demand compared to Brazil's aggressive program.

U.S. Cash Market & Basis: Cash soybean markets remain sharply divided between weak export demand and firm domestic crush. Export corridors stayed heavy — CIF soy near +50 to +55¢ vs November — while processors paid up to secure beans on still-favorable margins. Brazil's program continues to siphon Chinese demand. Weekly inspections were only 16.6 million bushels (0.45 MMT), highlighting sluggish shipments versus Brazil's dominant export program.

So what: Soybeans remain stuck in balance: strong crush demand and record meal exports provide support, but the absence of Chinese buying and Brazil's dominance cap rallies. Speculative positioning is heavily skewed short — net short as of September 9, with mid-August levels showing more than 125,000 contracts short (about 59% of open interest). That weight has kept futures subdued near five-year lows, yet it also sets the stage for volatility. A meaningful surprise — whether weaker-than-expected harvest yields, a burst of Chinese buying, or policy easing — could trigger sharp short covering and a fast rally. Absent that, soybeans are likely to chop sideways in the \$10.00–10.30 band as commercials carry supply and processors remain the key demand anchor.

Wheat Deep Dive

WASDE Update: USDA's September report left U.S. wheat production unchanged at 1.927 billion bushels, in line with expectations, but raised exports by 25 million to 900 million versus analyst ideas near 875 million, trimming ending stocks to 844 million bushels, tighter than the 860 million projected. The season-average farm price was lowered 20¢ to \$5.10/bu, consistent with a burdensome domestic balance sheet.

Global Balance: USDA also introduced several global adjustments. Russia's crop was raised 1.5 MMT to 85.0, while Australia's output climbed 3.5 MMT to 34.5 and EU production rose 1.9 MMT to 140.1. Russian exports were trimmed to 45.0 MMT, lifting ending stocks by nearly 2 MMT, while EU stocks slipped as

imports were revised down. Globally, production increased to 816.2 MMT and ending stocks rose to 264.1 MMT, up 4 MMT from August, reinforcing an abundant world balance sheet. These changes lifted world production to 816.2 MMT and raised ending stocks by 4 MMT to 264.1, underscoring a looser global balance sheet than August.

Futures & Spreads: Wheat futures extended weakness after the report, with December CBOT SRW slipping to \$5.18/bu and Kansas HRW easing to \$5.09/bu. Prices have tested fresh multi-year lows near \$5.00; the early-September pop was mostly short-covering and faded quickly. Wide carries persisted, with the Dec–Mar spread steady near 18¢, about 75 percent of full carry, underscoring strong incentives for storage. Carry structures were near full commercial levels across all wheat classes, confirming that abundant supplies are being pushed forward in time rather than rationed nearby.

Trade Flows & Basis: Russian exports remained heavy, with FOB 12.5 percent protein wheat offered slightly lower at \$228–230/MT, maintaining pressure on global values. EU shipments continue to lag, running more than 40 percent below last year, while Australia’s improved crop outlook adds to global supply weight. U.S. basis was steadier but lower than earlier suggested: USDA data placed CIF SRW Gulf bids at +45 to +55¢ vs December, up modestly from the prior week but well below the +100¢ implied earlier. FOB SRW premiums for 10.5% protein held around +90¢. HRW protein premiums were mixed: Gulf FOB HRW was unchanged near +110¢, but delivered 14.5 percent HRW into Chicago fell by 20¢ on September 17, showing uneven demand.

Speculative positioning: Managed money funds remain heavily net short across SRW, HRW, and spring wheat futures, leaving the market vulnerable to sharp but temporary rallies if export sales surprise or if geopolitics disrupt Black Sea flows. Chicago net short positions have recently been running above 90,000 contracts, a coiled base that could fuel squeezes but has so far kept rallies capped. Commercial hedgers extended coverage into modest rallies, further limiting recovery attempts.

So what: The September *WASDE* reaffirmed wheat’s bearish outlook. Larger global crops in Russia, Australia, and the EU pushed world supplies higher, reinforcing burdensome stocks and intensifying competition for U.S. exports. Futures have already pressed to fresh multi-year lows near \$5.00, and the brief early-September bounce was little more than short covering before sellers reasserted control. Wide carries across all classes continue to reward storage and discourage nearby rallies, keeping the market range-bound and defensive. Still, the heavy speculative short base — Chicago net short above 90k contracts — leaves scope for sharp but fleeting squeezes if Russian exports falter, Australian weather turns unfavorable, or U.S. sales surprise. Until then, wheat remains a buyer’s market anchored by comfortable global supply.

U.S. Cash Market & Basis

The U.S. corn market is showing the classic early-harvest split between pressured export channels and steadier inland demand. At the Gulf, CIF bids for #2 Yellow Corn were quoted at +78 to +79¢ over December futures as of September 16, well below the +90–95¢ implied earlier. Weekly export inspections reached 56.8 million bushels (1.44 MMT) in the week ending September 18, a strong pace that validates USDA’s record export forecast, with Mexico and Japan again the leading buyers. Interior basis softened seasonally as new-crop bushels moved into the pipeline, though ethanol plants and feeders in the Western Corn Belt maintained firm bids to secure coverage. Nationally, harvest pressure and river freight constraints continue to weigh on values, but inland users are tempering the decline.

Cash soybean markets remain sharply divided between weak export demand and firm domestic crush. CIF Gulf bids for #1 Soybeans were quoted at just +50 to +55¢ over November on September 16, reflecting heavy barge freight and limited Chinese demand. Weekly inspections were only 16.6 million

bushels (0.45 MMT), highlighting sluggish shipments versus Brazil's dominant export program. In contrast, processor bids stayed steady-to-strong, underpinned by crush margins above \$2.00/bu. The September *WASDE* lifted U.S. crush to a record 2.555 billion bushels, reinforced by robust soymeal exports, which continue to support domestic demand even as exports falter.

Wheat basis reflected the same global pressures weighing on futures. CIF SRW Gulf bids were quoted at +45 to +55¢ over December as of September 16, modestly higher than the prior week but well below the +100¢ previously implied. FOB SRW premiums for 10.5% protein held steady near +90¢, while HRW premiums softened, with delivered 14.5% HRW to Chicago reported down 20¢ on September 17. Weekly inspections totaled 15.6 million bushels, while export sales were 11.2 million, underscoring how aggressive Black Sea competition continues to cap U.S. export opportunities. Domestic millers remain adequately covered, with demand shifting to opportunistic breaks or any tightening in protein supplies.

So what: Basis patterns continue to mirror the broader market structure. Corn shows wide carries and seasonal harvest pressure, but strong inspections keep Gulf bids supported. Soybeans are the clearest divergence: exporters struggle with weak Chinese demand and high freight, while processors bid aggressively to secure coverage. Wheat basis remains two-speed, steady in SRW export channels but softer in HRW country, with Black Sea competition still setting the ceiling. For merchandisers, corn and wheat favor storage strategies to capture carry and later basis appreciation, while soybeans tilt toward prompt movement into processors to monetize strong nearby bids.

International Cash & Trade Flows

Brazil: Brazil's soybean program remains the centerpiece of global flows. ANEC lifted its September projection to 7.43 MMT, a sharp increase from last week's 6.75 MMT and well above last year. That pace has clogged ports, with beans taking precedence and slowing the movement of corn despite a record safrinha. Domestic corn values in Mato Grosso hovered near R\$60/bag, reflecting oversupply, but exporters have struggled to clear stocks quickly. This bottleneck has temporarily opened the door for U.S. corn into some Asian destinations, even as Brazil retains the advantage on soybeans into China.

Argentina: Argentina remains the cheapest nominal origin, with Upriver corn offers holding near \$175–180/MT, but very little is moving. Farmers continue to hoard grain as a hedge against inflation ahead of October elections, and exporters have been reluctant to register new forward sales under the DJVE system. Even with favorable weather lifting crop prospects, political and currency risks are keeping Argentina's participation in world trade muted.

Black Sea: Russia raised its wheat export duty to \$1.67/tonne, which has slowed the pace of sales despite a record crop. FOB 12.5% wheat values slipped to \$228–230/MT, keeping Russian offers the cheapest into key Middle East and North African tenders. Ukraine's new 10% levy on oilseed exports has triggered confusion at customs, with vessels delayed and sales effectively frozen. Together, these measures highlight how government intervention, not production, is dictating the pace of Black Sea exports.

European Union: Europe remains stuck on the defensive. Wheat exports are running ~40% below last year, with French offers consistently undercut by Russia. At the same time, drought damage has pulled EU corn production down to 57–58 MMT, driving import needs up toward 18–21 MMT, the largest in three years. The bloc has shifted from exporter to buyer, with Brazilian and U.S. corn expected to capture share once Brazil's logistical logjam eases.

China: China continues to bypass U.S. origins despite an 80–90¢/bu FOB discount on American soybeans. August arrivals were about 12.3 MMT, almost entirely Brazilian, while tariffs and negative crush margins kept U.S. beans unworkable. Sorghum imports from the U.S. collapsed 97% year-on-year,

replaced by Brazilian origin. Yet downstream demand for protein is still firm: Dalian soymeal futures rose to ¥3,580/MT (~\$492/MT) on steady hog consumption, underscoring the divergence between weak raw bean demand and resilient meal usage.

Other origins: Canada is advancing with wheat and canola harvests, though prairie heat capped canola yields. Australia's crop outlook was boosted to 34.5 MMT, though El Niño risks remain in play. South Africa raised its corn export forecast to 3.5 MMT, adding to regional competition. In India, domestic wheat prices have surged well above government support levels, prompting speculation about a potential reduction in the 40% import duty — a policy change that could redraw wheat flows later this year.

So what: This week underscored the disconnect between production and availability. Brazil has more grain than ever but can't move it all at once. Russia has wheat to spare but is taxing exports. Ukraine has crops in storage but customs bottlenecks keep them from moving. The EU suddenly needs corn, while China won't touch U.S. supplies. Rising freight costs (BDI at 2,154) add another constraint. For the U.S., the immediate opening is Europe's import gap, but the bigger swing factor will be policy decisions — whether India lowers its wheat duty or China eases its freeze on U.S. farm goods.

Key Fundamentals & Reports (Sep 11 – Sep 17)

USDA WASDE (September): USDA projected U.S. corn production at 16.8B bu on a record yield of 186.7 bu/acre, the largest harvest since 1933. Ending stocks climbed to a seven-year high of 2.11B bu, with the season-average farm price held steady at \$3.90/bu. Soybean production was trimmed to 4.30B bu on slightly smaller harvested area and yield pegged at 53.5 bu/acre. Exports were cut to a six-year low of 1.685B bu, while crush was raised to a record 2.555B bu, leaving ending stocks at 300M bu. The season-average soybean price was lowered 10¢ to \$10.00/bu. Wheat exports were raised to 900M bu, cutting ending stocks to 844M bu, and the farm price was reduced 20¢ to \$5.10/bu.

Crop Progress (USDA NASS, week ending Sep 14): U.S. corn condition slipped one point to 67% good/excellent. Harvest reached 7%, equal to the five-year average, while maturity advanced to 41%. Soybean condition eased to 63% good/excellent. Harvest stood at 5%, ahead of the five-year average of 3%, with 41% dropping leaves. Weather stayed favorable overall, though dryness in the western Corn Belt continued to pressure stalk quality.

Export Inspections: For the latest week, corn inspections were reported at 56.8M bu (1.44 MMT), soybeans at 16.6M bu (0.45 MMT), and wheat at 15.6M bu (0.42 MMT). Corn shipments remained strong, led by Mexico and Japan, while soybeans lagged with China largely absent. Wheat flows stayed capped by Black Sea competition.

Export Sales: Weekly export sales data showed 21.3M bu of corn, 19.9M bu of soybeans, and 11.2M bu of wheat. The soybean figure remained light without major Chinese buying, while corn sales validated USDA's raised forecast.

Ethanol Production & Stocks (EIA, week ending Sep 12): Ethanol output averaged 1.055M bpd, higher than the prior week. Stocks fell to 22.6M barrels. Plants continued to run with positive margins, though no official implied corn-use figures were reported.

NOPA Crush (August, reported Sep 16): NOPA members processed 189.8M bu, a record for the month. Soymeal demand was strong, while soyoil stocks came in below expectations, consistent with steady renewable diesel use.

Flash Sales: USDA confirmed multiple daily sales during the week: 225,000 MT of corn to Mexico (Sep 15), another 106,680 MT of corn to Mexico, 22,000 MT of soybean oil to South Korea, and 123,000 MT of soybeans to unknown destinations earlier in September.

International Reports:

Brazil – ANEC Exports: ANEC revised its September soybean export forecast higher to 7.43 MMT, up from 6.75 MMT projected the week prior, reinforcing Brazil's dominance in China's nearby coverage. Heavy soybean loadings have strained port capacity, slowing corn flows despite a record safrinha crop. FOB Paranaguá soy offers held near \$545/MT, about \$20/MT below U.S. Gulf values, keeping Brazilian origin the clear choice for Chinese crushers. Santos corn offers stayed near \$205/MT for October shipment, leaving U.S. Gulf corn largely sidelined.

Argentina – Rosario Board of Trade (BCR): Farmer selling remained muted despite corn FOB Upriver values near \$175/MT, the cheapest globally. A wide gap between the official and parallel peso rates continues to encourage on-farm hoarding ahead of October elections. Export registrations (DJVE) were minimal, as exporters wait for policy clarity before committing forward sales.

China – Customs: China imported 12.3 MMT of soybeans in August, almost entirely Brazilian, while corn arrivals were limited to 0.25 MMT. Domestic crush margins stayed negative, curbing new demand, while state reserve auctions met nearby needs. The Ministry of Agriculture maintained its 2025 corn output forecast at 280 MMT, though weather issues in the northeast were flagged as a risk. Dalian soymeal futures firmed on steady hog demand, underlining resilience in downstream feed use even as soybean imports slow.

European Union – MARS / IGC: The EU's crop monitoring service cut maize yields to 7.2 t/ha, pegging 2025 corn output at just 57.6 MMT, the smallest since 2018. The International Grains Council now projects EU corn imports at 21 MMT for 2025/26, making the bloc the world's second-largest buyer. France and other exporters continue to lag into North Africa, as Black Sea origins undercut EU offers. **Global – FAO Food Price Index (Sep 6):** The FAO's August food price index fell again, with the cereal sub-index down on ample harvest supplies.

Global – FAO Food Price Index: The FAO's August food price index was broadly steady, though the cereal sub-index eased by 0.8% on large harvests in the EU and Russia. World maize prices firmed on stronger U.S. demand, while rice markets stayed volatile under India's export restrictions. The Baltic Dry Index climbed to 2,205 on Sep 18, extending its recent uptrend and signaling rising freight costs that could erode exporters' margins in coming weeks.

Weather & Crop Conditions

Crop Progress & Rainfall: Mid-September weather remained broadly harvest-friendly, with warm, dry conditions accelerating maturity. As of September 14, the corn harvest was 7% complete, equal to the five-year average, while soybeans were 5% complete, ahead of the 3% average. National crop ratings slipped by one point to 67% good/excellent for corn and 63% for soybeans. Moisture continued to split east and west: recent showers in Illinois, Indiana, and Ohio improved topsoil and aided pod fill, while Iowa, Minnesota, and the Dakotas stayed dry, raising concern over stalk integrity and late-season beans.

Temperatures: Highs held in the upper 70s°F to low 80s°F, with lows mostly in the 50s°F. A patchy frost brushed North Dakota and northern Minnesota, with some readings dipping into the 30s°F. Damage was limited and localized, as most crops were already mature or near maturity.

Outlook (6–10 days): NOAA projects continued above-normal warmth and below-normal precipitation across the Plains and western Corn Belt, favoring rapid harvest progress. A slow-moving system may bring 1–2 inches of rain to parts of the Midwest, briefly slowing harvest but improving soil profiles for winter wheat establishment along the Mississippi corridor.

South America: Conditions are steadier than previously feared. In Brazil, farmers in Mato Grosso and Goiás await the onset of consistent pre-monsoon rains, but soil moisture is rated satisfactory to favorable, and seasonal planting should begin on time if rains arrive in late September. Southern Brazil (Rio Grande do Sul) remains on watch for wheat quality risks under dry pockets. In Argentina, late-August rains improved the northern Pampas, but the central and southern Pampas remain dry enough to raise concern as corn and soybean planting approaches in October.

Global: Europe's summer drought left EU corn output pegged near 55–57 MMT, the lowest since 2018, setting up import demand of around 21 MMT in 2025/26. Canada's Prairies continued to struggle with drought, curbing canola and wheat yields. Australia's outlook, by contrast, has improved: USDA raised its wheat production forecast by 3.5 MMT to 34.5 MMT, and ABARES signaled stronger winter crop potential after timely rains. India's monsoon finished below normal (~8% deficit), tightening prospects for rice and vegetable oils despite a late-season recovery.

So what: U.S. weather no longer presents significant yield risk — harvest is confirming USDA's outlook, with attention shifting to harvest pace, stalk integrity, and basis behavior as supplies enter the pipeline. Internationally, Brazil's monsoon onset remains the key watch for soybean planting; delays could briefly extend U.S. competitiveness. Elsewhere, Europe's corn shortfall is already priced in, while Australia's improved wheat outlook and Canada's drought stress pull global balances in opposite directions.

Synthesis & Outlook

Markets have moved beyond the *WASDE* print and into harvest reality, where early yield checks and barge logistics are steering sentiment more than paper values. Corn and soybeans are maturing quickly under warm, dry weather, and combines are starting to test USDA's high yield bar. Futures remain range-bound, but cash tells the sharper story: inland processors keep bids firm while river markets sag under heavy freight and muted export pull. Wheat stays governed by Black Sea pricing and a swelling global balance sheet, even as domestic stocks tightened modestly. Macro signals — a softer dollar, steady crude, and firmer freight costs — leave a mixed but mostly neutral backdrop. The base case remains range-trade with carries intact; upside requires yield disappointments or a surprise from China, while downside builds if harvest runs smoothly and Brazil's planting window opens on schedule.

Base case: Harvest pace quickens and validates USDA's neutral-to-bearish posture. December corn consolidates in a \$4.10–4.20 range, November soybeans hold around \$10.00–10.30, and December wheat drifts between \$5.00–5.20. Wide carries in corn and wheat continue to reward storage hedges, while strong processor demand keeps soybeans supported despite sluggish exports.

Bullish triggers: A consistent pattern of below-trend field yields — 5–10 bpa lighter for corn or soybeans slipping under 53 bpa — could push December corn toward \$4.40 and November soybeans back to \$10.80–11.00. A burst of Chinese buying, or Mexico extending heavy corn purchases, would reinforce rallies. For wheat, a sharper slowdown in Russian shipments or weather setbacks in Australia could spark short covering from the heavily net-short fund base.

Bearish triggers: If favorable harvest weather holds and yields confirm USDA's high projections, funds may lean back into shorts. December corn could slip to \$3.80–3.90, soybeans test \$9.70–9.80, and wheat retest \$4.80. A timely monsoon in Brazil would accelerate soybean planting and cap any U.S. export window. Rising freight costs or a firmer U.S. dollar would add pressure to basis and spreads.

Watchlist for Sep 17–Sep 24: (1) USDA Crop Progress on Sep 22 — first detailed read on harvest pace and early yield reports; (2) USDA weekly export sales on Sep 19 — soybeans remain the focus for any Chinese activity, while corn demand from Mexico and Japan stays key; (3) Brazil weather — timing of

monsoon onset in central states will dictate soybean planting progress; (4) Black Sea exports — Russian duties and Ukraine's new oilseed levy continue to disrupt flows; (5) Macro drivers — dollar direction, crude oil stability, and Baltic Dry Index levels shaping competitiveness.

grains and oilseeds enter late September with a neutral-to-bearish tilt. Abundant U.S. supply keeps spreads wide and flat prices capped, while Brazil's export pace and Russia's wheat shipments dominate global trade flows. The hinge now is harvest truth: if yields validate USDA, the downside bias persists; if not, early disappointments could spark fund covering and give soybeans, in particular, a short-term rally window before Brazil's new crop gains traction.

Ethanol for America Act

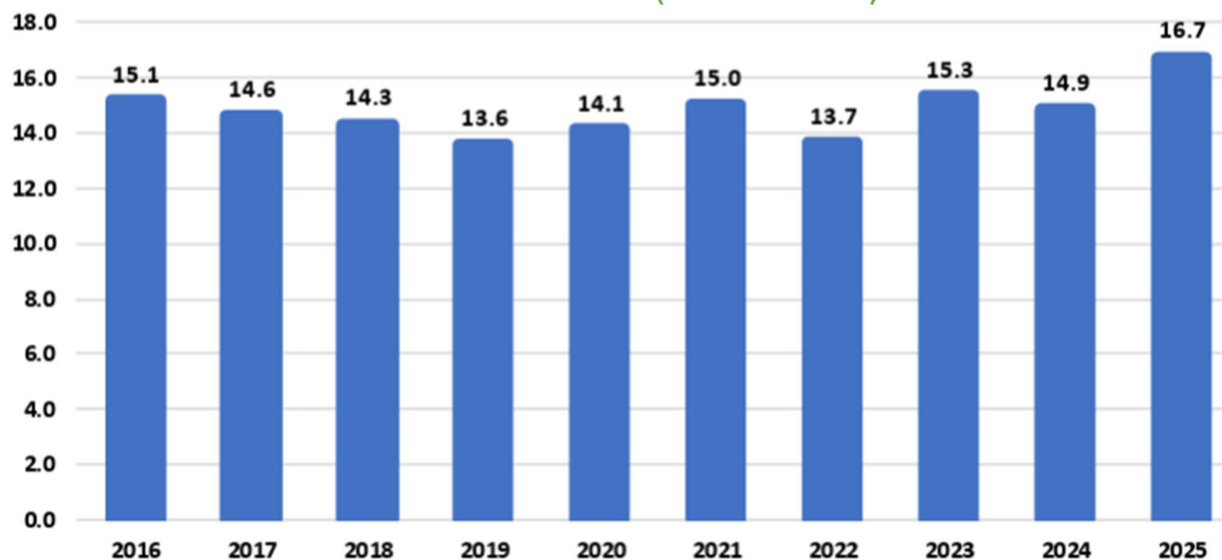
The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the U.S. corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.

U.S. Corn Production (Billion Bushels)



Source: USDA